



ZIMBABWE INTEGRATING CAPITAL AND RISK PROGRAMME (‘ZICARP’)

TS 6.4 - Technical Specification for Determination of Operational Risk Capital Requirement

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1. Introduction

- 1.1 Operational risk refers to the risk of a change in value caused by the fact that actual losses, incurred for inadequate or failed internal processes, people and systems, or from external events (including legal risk) differ from the expected losses.
- 1.2 The determination of operational risk under the standardised approach uses a basic linear measure of operational risk based on the scale of the insurer's operations.
- 1.3 Operational risk for obligations with linked insurance is calculated using different metrics from those used to determine non-linked insurance obligations.
- 1.4 The operational risk capital requirement for linked insurance obligations assumes a percentage of the Assets Under Management (AUM) whilst the operational risk capital requirement for non-linked insurance obligations is calculated by reference to earned premiums and technical provisions.
- 1.5 For non-linked insurance obligations, the operational risk capital requirement is subject to a parameter β which takes values from 10% to 30% depending on the level of compliance of the insurer with the updated Circular 14 of 2022 and future amendments.
- 1.6 The solvency capital requirement for operational risk (SCR_{op}) shall be calculated as:

$$SCR_{op} = \min(\beta \cdot BSCR, Op_{non-linked}) + Op_{linked}$$

where:

- $BSCR$ = The Basic Solvency Capital Requirement as described in **TS 6**;
- $Op_{non-linked}$ = The operational risk solvency capital requirement for non-linked insurance obligations;
- Op_{linked} = The operational risk solvency capital requirement for linked insurance obligations; and
- β = A risk factor parameter ranging between 10% and 30% as indicated in the table below.



Level of Compliance to updated Circular 14 of 2022	Description	Measurable Outcome	Level of β	SCR_{op}
Not compliant	Insurer has not started implementing the Directive		30%	$\min(0.3 \cdot BSCR, Op_{non-linked}) + Op_{linked}$
Partially Compliant – level 1	Insurer has 1 st line of defence in place	Insurer has a minimum of the following: i. risk registers including a description of the procedure to continuously identify and assess risks faced; ii. identification of risk owners within the organisation to ensure proper ownership and responsibility for risks	25%	$\min(0.25 \cdot BSCR, Op_{non-linked}) + Op_{linked}$

		faced by the company; and iii. evidence of existence of internal control systems to measure, assess and mitigate risks faced by the insurer.		
Partially Compliant Level 2	- Insurer has the 1 st and 2 nd lines of defence in place	In addition to the requirements under level 1 above, the insurer should have the following in place: i. a risk management function – that produces regular reports as per the directive. Evidence of risk management systems; ii. an actuarial function – that produces regular reports as per the guideline; and	20%	$\min(0.2 \cdot BSCR, Op_{non-linked}) + Op_{linked}$

		iii. a compliance function – that produces regular reports as per the guideline. Evidence of governance systems.		
Fully Compliant	Insurer has the 1 st , 2 nd and 3 rd lines of defence in place	An internal audit that provides assurance on risk and governance – regular reports to the Board may be required as evidence. Fully fledged Enterprise Risk Management in place.	10%	$\min(0.1 \cdot BSCR, Op_{non-linked}) + Op_{linked}$

Table 1: Values of β

1.7 Table 1 presents how the values of β are chosen depending on the level of compliance with updated circular 14 of 2022. The highest level of compliance relates to the presence of an Enterprise Risk Management framework as well as internal audit that gives assurance on risk and governance.

2. Non-Linked Insurance Obligations

2.1 The operational risk capital requirement for non-linked insurance obligations ($Op_{non-linked}$) is calculated as:

$$Op_{non-linked} = \max(Op_{premiums}, Op_{provisions})$$

where:

$Op_{premiums}$ = Operational risk capital requirement determined using earned premiums as the measure of scale; and

$Op_{provisions}$ = Operational risk capital requirement determined using technical provisions (excluding the risk margin) as the measure of scale.

2.2 The measure $Op_{premiums}$ is calculated as:

$$\begin{aligned} Op_{premiums} = & 4\% \cdot (PI_{Life} - PI_{Linked}) + 3\% \cdot PI_{NL} \\ & + \max \{ 4\% \cdot (PI_{Life} - PI_{Linked} - 1.2(pPI_{Life} - pPI_{Linked})), 0 \} \\ & + \max \{ 3\% \cdot (PI_{NL} - 1.2pPI_{NL}), 0 \} \end{aligned}$$

where:

PI_{Life} = Premium income during the past 12 months for all life insurance obligations;

PI_{NL} = Premium income for the 12 months ending on reporting date for non-life insurance obligations;

PI_{Linked} = Premium income for the 12 months ending on reporting date for linked insurance obligations;

pPI_{Life} =Premium income for the 12 months ending on the date 12 months prior to the reporting date for all life insurance obligations;

pPI_{NL} =Premium income for the 12 months ending on the date 12 months prior to the reporting date for all non-life insurance obligations; and

pPI_{Linked} =Premium income for the 12 months ending on the date 12 months prior to the reporting date for linked insurance obligations.

NB: The term 'premium income' refers to earned premiums.

2.3 The measure $Op_{provisions}$ calculated as:

$$Op_{provisions} = 0.45\% \cdot \max(TP_{Life} - TP_{Linked}, 0) + 3\% \cdot \max(TP_{NL}, 0) \quad \text{where:}$$

TP_{Life} =Technical provisions for life insurance obligations, excluding the risk margin;

TP_{Linked} =Technical provisions for linked insurance obligations, excluding the risk margin; and

TP_{NL} =Technical provisions for non-life insurance obligations, excluding the risk margin.

3. Linked Insurance Obligations

3.1 The operational risk capital requirement for linked insurance obligations (Op_{Linked}) shall be calculated as:

$$Op_{Linked} = \sum_{linked} \max(25\% \cdot Exp_{Linked}, OP_{AUM(linked)})$$

where:

Exp_{Linked} = Amount of annual expenses incurred during the previous 12 months in respect of linked insurance obligations which include all direct and indirect expenses excluding commission only; and

OP_{AUM} = The operational capital risk requirement for assets under management (AUM) for insurance obligations and is given by the formula:

$$OP_{AUM} = 0.0025 \cdot AUM$$

4. TS 6.4 A1: Glossary

Confidence level: Statistical measure of the level of certainty regarding an outcome, typically expressed as the probability value $(1 - \alpha)$ associated with a confidence interval.

Linked insurance obligations: means where the insurance obligations under an insurance policy are:

- a. Not fully guaranteed or partially guaranteed; and
- b. Determined solely by reference to the value of particular assets or categories of assets which are specified in the insurance policy and are actually held by or on behalf of the insurer specifically for the purposes of the insurance policy, less deductions specifically provided for in the insurance policy.

Operational risk: Risk of a change in value caused by the fact that actual losses, incurred for inadequate or failed internal processes, people and systems, or from external events (including legal risk), differ from the expected losses.

Reinsurance: Type of risk mitigation on the basis of an insurance contract between one insurer or pure reinsurer (the reinsurer) and another insurer or pure insurer (the cedant), to indemnify against losses, partially or fully, on one or more contracts issued by the cedant in exchange for a consideration (the premium).

Reserve risk: Relates to incurred claims, i.e. existing claims, (e.g. including IBNR and IBNER), and originates from claim sizes being greater than expected, differences in timing of claims payments from expected, and differences in claims frequency from those expected.

Risk margin: A generic term, representing the value of the deviation risk of the actual outcome compared with the best estimate, expressed in terms of a defined risk measure.

Solvency capital requirement: The amount of capital to be held by an insurer to meet the Pillar I requirements under ZICARP.

Technical provision: An insurer's contractual obligations/rights under an insurance contract.

Value-at-Risk: The maximum dollar amount expected to be lost (given normal market conditions) over a given time horizon, at a predetermined confidence level.